MSP System Established in the 1960s

Before 1965, the government undertook no price support operations in India. Some states took sporadic measures at local levels. On 1 August 1964, the government appointed a committee under the chairmanship of L.K. Jha, secretary to the prime minister, to determine farmers' prices of rice and wheat for the ensuing 1964–65 session. The committee was also tasked to provide the terms of reference to set up an agency to provide such recommendations on a standing basis. The L.K. Jha Committee conceived of 'the producers' price as being the minimum price or a support price at which the government should undertake the responsibility for purchasing any quantities that are offered at approved assembling points'. In addition to recommending producers' prices, which were the harbinger of the elaborate MSP system, the committee recommended retail prices for the 1964–65 rice season. The roots of the ration card system also lay in the committee's recommendations, as it also recommended a 'rationing' system for some cities considering the heavy food deficit situation in the country.

The MSP system went on to become increasingly bigger, expanding from the original two crops of rice and wheat. It has also been fine-tuned over the years. Governments brought an increasing number of crops under the MSP system. However, farmers of crops other than wheat and rice did not get the benefit of MSP on account of several issues such as unsuitability of some crops like pearl-millet (bajra), which cannot be stored, and lack of procurement arrangements for pulses and other crops.

Profit margins are political decisions. Margins over cost kept increasing over the years. In 2017–18, the government decided to provide at least 50 per cent profit over cost of cultivation for all MSP crops.